Antero Resources

Q3 2026: stronger cash generation.
Cheap headline earnings need a full-cycle check.

NYSE: AR / USD | Cyclical | Commodity | Quality profile

Buy

Automatic opportunity signal / manual review remains open

7.45 / 10

Reference price $42.11 / 28 Oct, 20:03 UTC

$1.563bn	$0.83	$215.3m
Revenue / +28.7% year over year	Adjusted EPS / GAAP EPS $1.19	Adjusted FCF / +136.8%

What improved

Cash production cost fell 16% to **$2.05/Mcfe**. Unhedged EBITDAX margin rose 27% to **$1.28/Mcfe**, despite NYMEX gas declining 4%.

Production rose 23% to 4.234 Bcfe/day. Acquisitions and royalty changes contribute: this is not an organic growth rate.

What limits conviction

Q4 production guidance fell to **4.3 Bcfe/day** from 4.4-4.5. Planned curtailments total 15-20 Bcfe; gas differentials remain a headwind.

FY2026 D&C of $1.2bn uses the previously announced optional $200m growth tranche. Commodity prices still drive earnings.

How it fits the current regime

Current snapshot: Reflation / 73.5

Gas exposure and improved costs support the model's cyclical fit. Recession fit is materially weaker; this is not a defensive earnings stream.

Fits are model scores out of 100, not probabilities or return forecasts. All five regimes remain visible.

Why not Strong Buy? A reported 9.41x P/E is attractive, but the comparable four-year earnings multiple is 18.73x. Correcting incomplete capex removes a large part of the apparent cash-flow bargain.

The cash bridge matters

Full cash capex replaces the incomplete provider field. USD millions unless stated.

Quarterly reconciliation

575.201 OCF
- 360.447 full cash capex
= 214.754 FCF proxy
+ 0.552 transaction adjustment
= 215.306 adjusted FCF

TTM to September 2026

2,243.851 OCF
- 1,110.173 full cash capex
= 1,133.678 FCF proxy

FY2025 - 9M2025 + 9M2026. Includes land, drilling/completion and other property capex; acquisition consideration remains separate.

Fiscal year	OCF	Full cash capex	FCF proxy
2022	3,051.342	943.971	2,107.371
2023	994.721	1,131.863	-137.142
2024	849.288	716.779	132.509
2025	1,630.930	820.122	810.808

Corrected four-year mean: $728.387m, down from the provider-based $1,426.434m. The average includes peak 2022 and negative 2023. Deducting mean minority distributions gives $616.673m as a sensitivity, still not normalized FCFE.

Valuation at $42.11

Reported TTM P/E	9.41x
Same-cycle earnings P/E	18.73x
Cycle FCF yield	5.63%
Net debt / EBITDA proxy	1.05x
Conditional DCF bear / base / bull	$31.39 / $39.43 / $49.14

Assumptions, not targets

Cost of equity 7.613%: risk-free 5.045%, beta 0.544, premium 4.72%. Five-year cash growth -5% / 0% / +5%, terminal growth 2%. Reverse DCF implies +1.48% annual growth.

307.136m shares outstanding on 23 Oct price the equity; 308.626m quarterly weighted diluted shares calculate EPS. Debt $2,781.812m; cash zero. EBITDA proxy = operating income + DDA; operating leases excluded from debt.

Score construction: valuation/expectations 40%, quality 30%, current regime 15%, growth 10%, shareholder returns/dilution 5%. Quality 7.38/10. The historical cash mean is a mechanical proxy; no score or growth input was tuned to force a Buy.

Open review: normalize post-HG/Utica owner cash flow and reinvestment before a manually approved valuation. Do not add the ORRI benefit again to Q3 cash flow; VPP savings begin after 1 August 2027. Corporate buybacks of $56m are not insider purchases. No verified consensus surprise or post-release market-reaction claim.

Evidence & review record

1. Antero Q3 2026 earnings release
2. Antero Q3 2026 Form 10-Q
3. Antero FY2025 results
4. Antero FY2024 results
5. Antero FY2024 Form 10-K, restated comparative income and cash flow, F-5/F-7
6. Antero Q2 2026 results and prior guidance

Sequential review by one model; no independent committee approval. GAAP-to-adjusted earnings bridge and source ledger: download JSON. FY2022-23 earnings use restated FY2024 comparative statements.